WK 4 / 12

# What is a company worth?

*The corner shop, the manic business partner — and the week Mr. Market moved into your phone*

We grade decisions, not outcomes.

0:00 — HARVEST

# A week of ignoring him: what did it cost?

### The urge

Who felt it — the itch to DO something after a nightly glance at the chart? (Hands up. Everyone's goes up eventually.)

### The cost of doing nothing

Usually: nothing. Write the number on the board. That nothing is the week's finding — most trading urges are noise asking for attention.

*Tonight we meet the character who manufactures that urge for a living.*

0:10 — FLIP CHART, NO SLIDES

ROOM BUILDS IT

# Buy the corner shop

**You're buying the shop on the corner — outright, your savings.**

What do you demand to see before you name a price?

*Let the room build the list:* what it owns (stock, fittings, the van) · what it owes (suppliers, the loan) · what it takes in a year · what's left after wages and light.

***Reveal: they have just invented the balance sheet and the income statement.***

THE REVEAL

# Two documents, audited, public, every year

### The balance sheet

What it owns and what it owes, on one date. The shop's stock, van and loan — at company scale, audited and filed for anyone to read.

### The income statement

What it earned over the year, and what was left after the wages and the light bill. The year's story in one page of lines.

*A share is the corner shop cut into millions of slices — week 1's napkin, now with documents.*

0:25 — KITCHEN-TABLE WORDS

# Four numbers, four questions

### EPS

Of the year's profit, how much belongs to ONE slice?

### Book value /share

Shut tonight, sell the lot, pay every debt — what's left per slice?

### Current ratio

Can it pay this year's bills with this year's money? Comfort: about 2-to-1.

### LT debt vs cushion

Is the mortgage bigger than the working-capital cushion?

*No formulas tonight — the site computes. Tonight is about what each number ASKS.*

Education, not advice.

*Go deeper, free: CORE, The Economy 2.0 — TII ch. 12 (course copy p. 310) on how EPS gets dressed up — one line now, week 6 in full*

0:40 — THE PARABLE

# Mr. Market, your manic business partner

You own half a business. Your partner is obliging — and manic.

Every day he names a price for his half: some days giddy-high, some days despairing-low. You are perfectly free to **buy his half, sell him yours, or ignore him entirely.**

***His feelings are not information about the business.***

2026 UPDATE

# Mr. Market lives in your pocket now

### He pings you at breakfast

Push notifications are his new voice — price moved! act now! The urgency is designed, not discovered.

### He flashes red at lunch

Blinking numbers and charts tuned like slot machines. His mood swings, migrated to an interface.

### He throws confetti when you trade

Some apps literally celebrate the act of trading. Ask who profits from your activity. (It is not you.)

*The parable didn't age — it got a push notification. Your edge over the professionals is patience, and it is exactly the edge the apps are built to take from you.*

# Never pay so much that being a bit wrong ruins you.

*That's margin of safety — one sentence tonight, chapter 20 (course copy p. 512) in full when the checklist arrives next week.*

Education, not advice.

*Go deeper, free: CORE, The Economy 2.0 — TII ch. 20 — 'Margin of Safety' as the central concept*

0:55 — PHONES OUT, NO RATION

# Open the books

**/fundamentals/** + your homework company (or adopt one from the universe)

1 The four cards — say aloud what each one ASKS

2 Five-year table, bottom row — has the dividend row ever gone blank?

3 One journal line: “One number here surprised me because…”

*The red/green chips are Graham's bars — teaching thresholds from a 1949 book, printed so you can argue with them. Next week we run them as a screen and argue properly.*

Education, not advice.

ONE DETAIL WORTH A MINUTE

# The dash that tells the truth

**P/E: —**

Find a company that lost money this year (the universe has one or two). Its P/E card shows a dash, not a number — **because a loss has no meaningful P/E, and the toolkit refuses to compute nonsense.**

*Systems that refuse to invent answers are the ones you can begin to trust. Remember that standard — you'll meet many that don't meet it.*

# The savers' question

### Deposits

Ask no reading of you — and pay accordingly. The honest baseline every investment must beat after costs and tax.

### Property

Arrives with a mortgage, a decade of commitment — and no five-year accounts table on your phone screen.

### This course's answer

Not a prediction and never a tip: a defensive investor demands EVIDENCE, read from the books, with a margin for being wrong.

***What this course adds is the reading.***



*Go deeper, free: CORE, The Economy 2.0 — Micro Unit 9, 'Lenders and borrowers and differences in wealth'*

1:25 — HOMEWORK

# Read the chapter. Resist the partner.

### 1 · Read chapter 8

Graham's text AND Zweig's commentary — p. 188 and p. 213 in the course copy. The most important chapter in the book; everything next week stands on it.

### 2 · Two visits, zero actions

Open your company's books page twice this week. Journal ONE line each visit about a number that moved or surprised you — and resist Mr. Market both times.

*“We grade decisions, not outcomes.”*

GO DEEPER — FREE, FOREVER, OPTIONAL

# The Economy 2.0

The free university text, tracking tonight's ideas:

| | |
|---|---|
| **MICRO UNIT 7** | The firm and its customers — what a firm is, and where the profit line comes from |
| **MICRO UNIT 9** | Lenders and borrowers and differences in wealth — the savers' question, done with models |
| **MACRO UNIT 6** | The financial sector: debt, money, and financial markets — where tonight's statements meet the market |

**books.core-econ.org/the-economy**